Focus on Failures

Figure 37.3 shows what I consider a failure of a bearish Gartley. The Gartley is conveniently labeled XABCD in the figure. The idea behind a bearish Gartley is to see price drop after D. When it doesn't, then that's a failure.

For example, in the figure, price drops from peak D, but not far (to E, just 4% below D), before zipping up to F (at the breakaway gap) and staging an upward breakout. I show that breakout where price closes above the horizontal black line at F. Volume slopes downward from pattern start to end as G shows.

I already mentioned the dip that appears after D 27% of the time, and this is another example of that behavior, only this stock continues higher (versus Figure 37.2, which turns down at G). So shorting at D is a risk when trying to trade this pattern.

In Figure 37.3, notice the strong upward push from the lowest low on the chart (in late December) to the start of the pattern (X). The Gartley acts as a measured move up (or ABC correction if you're an Elliott waver), with the drop from X to A being the corrective phase, followed by a resumption of the uptrend from A to the high on the chart (I know, the last leg doesn't rise far enough. The stock dips to 247 in December and peaks in February 2020 at nearly 307).